

FORM TP 2006252



TEST CODE **02133020**

MAY/JUNE 2006

CARIBBEAN EXAMINATIONS COUNCIL

ADVANCED PROFICIENCY EXAMINATION

MANAGEMENT OF BUSINESS

UNIT 1 – PAPER 02

2½ hours

01 JUNE 2006 (a.m.)

INSTRUCTIONS TO CANDIDATES

1. This paper consists of **THREE** sections.
2. Each section consists of **TWO** questions.
3. Candidates **MUST** answer **ONE** question from EACH section.
4. Each question is worth a total of **25 marks**.
5. The overall total for Paper 02 is **75 marks**.

SECTION A

MODULE 1

BUSINESS AND ITS ENVIRONMENT

Answer ONE question from this section.

1. (a) Define globalization. [3 marks]
- (b) Outline THREE factors which have contributed to the growth of globalization. [6 marks]
- (c) Discuss, giving suitable examples, FOUR ways in which globalization may impact on organizations operating within the Caribbean Business Environment. [16 marks]

Total 25 marks

2. John, the Production Manager of Carib Incorporated, has an option of locating his firm's production plant in Moonlight Island or Sunny Isle. He is provided with the following data on both countries.

Moonlight Island

Level of Demand	Probability	\$000
High	.4	80
Medium	.4	40
Low	.2	-20

Sunny Isle

Level of Demand	Probability	\$000
High	.4	60
Medium	.4	40
Low	.2	30

- (a) (i) Draw a Decision Tree to illustrate the above scenario. [9 marks]
- (ii) Calculate the expected value for:
- (a) Moonlight Island
- (b) Sunny Isle [4 marks]
- (iii) Recommend to John, the country in which he should locate the production plant, and why. [2 marks]

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- (b) Apart from the decision tree, John has been informed that the Critical Path Analysis (CPA), a Network Analysis Technique, can also be used as a decision-making tool.
- (i) Define "Network Analysis". [2 marks]
 - (ii) Outline TWO advantages and TWO disadvantages of using the Critical Path Analysis as a decision-making tool. [8 marks]

Total 25 marks

SECTION B

MODULE 2

MANAGEMENT OF PEOPLE

Answer ONE question from this section.

- 3.** Many organizations suffer from poor communication.

- (a) Discuss THREE principal barriers to good communication in an organization. [9 marks]
- (b) Explain ONE way in which EACH barrier discussed in (a) above might be overcome. [6 marks]
- (c) Describe TWO important features of:
 - (i) The Formal Communication Network [4 marks]
 - (ii) The Informal Communication Network. [4 marks]
- (d) Outline TWO advantages of face-to-face communication over written communication. [2 marks]

Total 25 marks

- 4.** Change is a crucial element in an organization's ability to survive and grow.

- (a) Discuss FOUR reasons why people resist change. [12 marks]
- (b) Discuss FOUR conditions which are necessary for change to be successfully implemented. [13 marks]

Total 25 marks

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SECTION C

MODULE 3

BUSINESS FINANCE AND ACCOUNTING

Answer ONE question from this section.

5. A company has three projects, A, B and C which it is considering for investment. Since funds are scarce, the company can only invest in one project. The initial investment in the projects and the expected cash flows are shown below. The interest rate facing the company is 11% p.a.

	A	B	C
	\$	\$	\$
Initial outlay	9 200	18 300	26 000
Cash Flows			
Year 1	2 500	5 100	3 200
Year 2	3 100	5 200	7 500
Year 3	3 100	5 600	8 125
Year 4	3 200	5 700	9 450
Year 5	3 800	5 775	10 200

Present value of \$1 received at the end of a number of years at 11% is as follows

Year	1	2	3	4	5
PV of \$1	0.901	0.812	0.731	0.659	0.593

- (a) Compute the Net Present Value (NPV) of EACH project using a discount rate of 11%. [18 marks]
- (b) Based on the NPV, determine which project the company should invest in and justify your recommendation. [4 marks]
- (c) Compare the implication of the NPV of project B and project C. [3 marks]

Total 25 marks

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6. (a) Distinguish between an operational budget and a capital budget and give an example of EACH. [4 marks]
- (b) L. Carter is a wholesaler whose financial year ends in March. His balance sheet at March 31, 2005 and as well as additional information are shown below.

Prepare a Cash Budget in columnar (tabular) form in as much detail as possible for the months of April and May 2005. Round all final figures to the nearest whole number.

	\$		\$
Fixed Assets at cost	40 000	Ordinary Share Capital	30 000
Accumulated Depreciation	<u>2 400</u>	Creditors	27 300
	37 600	Accrued Expenses	4 150
Stock	6 000		
Debtors	9 450		
Bank	8 400		
	<u>23 850</u>		
	<u>61 450</u>		<u>61 450</u>

NOTES

- (i) Budgeted sales (in units) are as follows:-
- | | |
|-------|-------|
| March | 900 |
| April | 1 000 |
| May | 1 500 |
| June | 1 200 |
- (ii) Each unit sells at \$42.
- (iii) All sales are made on credit. 75% of goods sold on credit is collected in the month of the sale and 25% in the month following.
- (iv) Budgeted purchases are as follows:-
- | | |
|-------|-------------|
| April | 1 100 units |
| May | 1 440 units |
| June | 1 280 units |
- (v) The purchase price of each unit is \$30 and goods bought are paid for in the same month of the purchase.
- (vi) Accrued expenses consist of rent owing for the months February and March (\$3 000) and utilities for the month of March.
- (vii) Accrued rent is to be paid in April; rent for the current quarter is to be paid in each month as it becomes due.
- (viii) Utilities are paid one month in arrears. Utility expenses are as follows:- April \$1 240; May \$1 300 and June \$1 400. [21 marks]

Total 25 marks

END OF TEST